

IKEA is aware of the challenges. To make its products more accessible, the company has adopted an omni-channel strategy, says Pulverer. It had initially planned to open 40 outlets in the country. It plans to stick to the number, but after opening five stores and with the experience it has gathered from its market research, that number may take some time to fulfil. For now, it wants to reach closer to the consumer instead of attempting to pull them only towards its large-format stores. “We more and more see that omni-channel is the way to go, which requires different formats. And go closer to the customers, where they stay,” says Pulverer. “So, we can’t just have a big-sized store; we need other formats in between.” To reach closer to Indian homes, IKEA has already launched two smaller-format city stores in Mumbai, where its Blue Box is located 30 km away from bustling consumer hubs like Bandra. It is also gearing up to launch similar stores in Bengaluru, Pune, Ahmedabad, Surat and Delhi.

According to Tripathy from UnboxSpaces, while IKEA showcases some 10,000 SKUs (stock-keeping units) at its flagship large-format stores, the smaller stores can offer customers up to 6,000 items in spite of cutting down on real estate cost significantly. The size of its second city store in Mumbai is about 75,000 sq. ft, compared to the 500,000-sq. ft Blue Box in Navi Mumbai. Pulverer says IKEA is increasingly adopting the smaller format, closer-to-home outlets model for expansion of late as consumers have less time to travel. Experts point towards the changing market dynamics and consumer behaviour post-Covid-19 that

PHOTO BY SANDESH RAVIKUMAR



POPULAR CHOICE Customers braved three-hour-long queues to enter the IKEA store in Bengaluru when it opened in June this year

IKEA’S PLAN IS TO CAPTURE THE MILLIONS OF YOUNG INDIAN CONSUMERS WHO ARE ON THE VERGE OF STARTING THEIR FAMILY —EITHER ALONE IN A NEW CITY OR WITH THEIR PARTNERS

may have triggered the move. As consumers remained locked inside their homes for over two years, IKEA had to shut a couple of stores in China, where it had been running large-format stores for over 24 years and had 37 outlets pre-Covid-19.

To strengthen its prospects in India, IKEA has resorted to extensive market research. According to Erik-Jan Middelhoven, Home Furnishing & Retail Design Manager for IKEA India, his team did

four years of market research and 2,000 home surveys before finalising the blueprint for the Bengaluru store. The global management seems to have taken a leaf out of its voyage in Japan during the 1970s. Even after 12 years of effort, the company had to leave the market, only to re-enter in 2006 with a new store design and format.

In India, though, its journey has only just begun. **BT**

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